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Trial Transcript Day Six: Rebuttal, Charge, and Closing

October 14, 2025 — Blue Ember rebuttal

THE COURT: Members of the jury, Blue Ember may present limited rebuttal addressing Dr. Park's defense opinions. Rebuttal is evidence like other testimony, but it may not introduce an unrelated claim.

MS. HOLT: Blue Ember recalls Kellan Brooks. You remain under oath?

MR. BROOKS: Yes.

Q. Dr. Park says a managed contingency could preserve Aurora Quay. Did her principal model include a full duplicate-site charge?

A. No. She assumed staging and management would avoid full duplication.

Q. What does Blue Ember's record show?

A. Some reservation and staff conflict would arise. The exact amount depends on a path never taken, so it is another uncertainty rather than a supported zero.

Q. Does that mean Cobalt Finch had no expected benefit?

A. No. It means the 1.5 million point estimate should not be treated as the only rational outcome.

Q. Can the verdict form handle that?

A. Yes. Jurors can find a supported net deduction after weighing benefit, cost, and probability.

Q. Did you revise the 4.2 million gross opinion?

A. No.

Brooks rebuttal continued

Q. Dr. Park described a break-even of 300,000 dollars. What does that omit?

A. Break-even arithmetic does not itself establish that the alternative would produce any particular gross saving. Capability and execution probability still determine the benefit input.

Q. Is lack of a contemporaneous percentage fatal to all mitigation?

A. No. The jury can assess evidence qualitatively. It limits the precision of an expert's single expected-value conclusion.

Q. If jurors find gross avoidance of 600,000 dollars?

A. Subtracting the 300,000 cost gives a 300,000 net reduction.

Q. If they find full gross avoidance of 1.8 million?

A. The net is 1.5 million.

Q. Does either result change the original 2.2 million direct subtotal?

A. No.

MR. MERCER: On recross, is 600,000 gross avoidance your opinion?

MR. BROOKS: No. It is a transparent scenario the jury can compare with the proof.

Q. And Cobalt Finch was a real option?

A. Yes, with real risk.

THE COURT: The witness is excused.

Solis rebuttal

MS. HOLT: Blue Ember recalls Dr. Solis for one subject.

Q. Could Blue Ember assign unlimited staff to Cobalt Finch without affecting Aurora Quay?

A. No. The same technical and quality personnel would manage document transfer, method responsibility, material decisions, audits, and the established campaign.

Q. Did Blue Ember possess completed spare BE-214 materials for both paths?

A. No. Inputs and planning would require allocation.

Q. Was every Aurora cancellation term waived?

A. No.

Q. Did your October decision record consider expected benefit?

A. Yes. We recognized earlier success could reduce delay, but judged the combined execution and contingency risk too high for the demanded commitment.

Q. Are you saying Cobalt Finch would certainly fail?

A. No. That was never our position.

Q. Do you ask the jury to ignore the offer?

A. No. We ask it to evaluate the full conditions as they stood on October 4.

MR. MERCER: No recross beyond confirming Blue Ember knew the benefit might exceed the stated cost.

DR. SOLIS: We knew the potential benefit was significant.

Limited surrebuttal from Dr. Park

MR. MERCER: Granite Heron asks one short surrebuttal.

THE COURT: Limited to the newly emphasized resource conflict.

Q. Dr. Park, does shared staffing make the alternative economically unreasonable in your opinion?

A. No. It adds management difficulty, but Blue Ember had professional teams and a threatened loss large enough to justify prioritization and staged contingency.

Q. Did you assume infinite resources?

A. No. My task network accounts for sponsor deliverables and overlapping work. I concluded they were demanding but achievable.

Q. Would a supported added contingency cost enter your arithmetic?

A. Yes. A proven incremental expense should reduce the net benefit once.

MS. HOLT: On cross, did you calculate a specific Aurora reservation cost from its complete contract?

DR. PARK: No. I reviewed schedule and available commercial evidence but did not add a separate full duplication figure.

Q. So jurors must decide that factual assumption?

A. Yes.

THE COURT: Rebuttal and surrebuttal are complete. The evidence is closed. Jurors, please retire while the Court hears legal matters and finalizes your instructions.

Close-of-all-evidence Rule 50(a) renewal

THE COURT: The jury is absent. Mr. Mercer, any motion at the close of all evidence?

MR. MERCER: Granite Heron renews its Rule 50(a) motion on the same causation ground stated Friday. Even after rebuttal, Blue Ember has not supplied legally sufficient proof that the environmental interval caused loss of the entire validation asset, the scope of replacement spending, or the forecast-based delay.

Brooks reaffirmed that he assumes quality causation. Solis reaffirmed an internal no-tolerance decision despite retained sample activity. The financial testimony cannot cure the scientific and contractual gap. The delay model also remains contingent on later business choices and an uncertain development plan.

THE COURT: Are you adding a request for judgment on Granite Heron's mitigation defense?

MR. MERCER: No. We renew causation only. We are not moving for judgment as a matter of law on whether Blue Ember failed to mitigate or on the size of a Cobalt Finch deduction. Those questions are for the jury on this trial record.

THE COURT: Ms. Holt?

Opposition and ruling on renewed motion

MS. HOLT: The completed record strengthens the causal proof. The contracts disclose validation purpose, the carrier admits noncompliance in its custody, and the contemporaneous disposition explains the relationship between exposure and intended use without claiming universal inactivity. Brooks traced each category and exposed uncertainty rather than hiding it.

Granite Heron asks the Court to weigh its preferred inference from the assay against Blue Ember's quality evidence. That is jury work. The jury may reject or reduce delay, and it may apply mitigation separately, but those choices do not show a legal absence of evidence.

THE COURT: The renewed motion is denied. Viewing the record in Blue Ember's favor, a reasonable jury could find that the admitted temperature failure caused validation rejection, direct loss, and a bounded foreseeable schedule effect. Granite Heron's testing, contract, and uncertainty arguments are appropriate for closing.

The ruling is limited to the causation ground actually renewed. No Rule 50(a) request concerning failure to mitigate or the deduction amount has been made. Those issues will be submitted under Granite Heron's burden.

We will proceed to the charge conference. The clerk should mark the written renewed motion as received today and associate it with this oral ruling.

Final charge conference

THE COURT: I have circulated the final instructions and verdict form. Blue Ember's objection to describing Cobalt Finch as "qualified" is sustained; the charge will say it had relevant capability and incomplete BE-214 qualification. Granite Heron's request that an alternative need not be guaranteed is included.

MS. HOLT: Blue Ember objects to any implication that capacity alone proves reasonableness. We understand the final language lists remaining work, risk, cost, timing, and expected benefit.

THE COURT: Correct. Your objection is otherwise overruled because the charge presents a balanced factual list.

MR. MERCER: Granite Heron objects to language suggesting development forecasts are recoverable simply because they predate the event.

THE COURT: The charge says timing is one factor and requires reasonable certainty, foreseeability, and adjustment for uncertainty. The objection is overruled.

MS. HOLT: We request separate direct and delay lines and a net mitigation line.

THE COURT: Granted. Any other distinct objection?

MR. MERCER: No further charge objection.

MS. HOLT: None beyond those stated.

THE COURT: Bring in the jury.

Final instructions — role and burdens

THE COURT: Members of the jury, decide the facts only from admitted evidence. Openings, closings, questions, objections, and rulings are not evidence. Nothing I have said indicates which side should prevail.

Blue Ember must prove its contract claim and each gross-damages category by the greater weight of the evidence. Granite Heron must prove its affirmative failure-to-mitigate defense and the net amount reasonably avoidable by the same standard. Greater weight means the proposition is more likely true than not true.

Assess witnesses by opportunity to know, memory, consistency, candor, interest, and relation to other evidence. An organizational witness may use company preparation; consider the foundation and limits. You may accept or reject expert testimony in whole or part after examining assumptions, sources, methods, and response to criticism.

Do not decide by sympathy, punishment, or a desire to split the difference. The number of exhibits or witnesses is not controlling. Some facts were stipulated and should be accepted as agreed, but the legal consequence of a stipulated event may remain disputed.

Final instructions — contract and breach

The parties had an enforceable integrated shipment contract. Consider the master agreement with the quality agreement, statement of work, purchase order, release specification, and rate confirmation according to their assigned subjects. Granite Heron did not guarantee scientific or regulatory success, but it remained responsible for the specific transport controls it accepted.

Blue Ember was required to tender the identified material with accurate instructions and perform its obligations. Granite Heron was required to maintain the specified frozen environment during custody, monitor and respond to an exception, document material events, and deliver as agreed.

A material breach is a failure concerning an important promised performance rather than a trivial departure. The stipulated device curve may be considered in deciding performance. Later recovery does not erase an earlier condition, and an earlier condition does not by itself establish every later loss.

If Blue Ember has not proved material breach, follow the verdict form and do not determine damages. If it has, proceed to causation. Do not impose liability based on intent, punishment, or an obligation that is not contained in the integrated writings.

Final instructions — causation and foreseeability

Blue Ember must prove that a material breach caused the compensable loss it claims. A cause is one that naturally and continuously contributes to the consequence and without which that consequence would not have occurred. More than one cause may exist.

Consider the validation purpose disclosed before shipment, the no-tolerance criterion, custody and temperature evidence, testing, quality disposition, possible uses, replacement actions, and schedule proof. Retained activity does not automatically establish validation suitability. A quality decision does not automatically establish legal causation. Evaluate the whole sequence.

Loss must also have been within the parties’ reasonable contemplation in light of the shipment’s nature and information communicated when contracting. The precise dollar figure need not have been predicted, but remote or highly speculative consequences are not recoverable.

You may find that some categories were caused and others were not. Use the separate verdict lines. A later mitigation question does not replace Blue Ember’s initial burden to prove gross causal loss, and a finding of gross cause does not prevent a later supported deduction.

Final instructions — compensatory damages

If you find breach and causal loss, award the amount reasonably necessary to compensate Blue Ember without improving its position beyond proper performance. Damages need a reasonable evidentiary basis, though exact mathematical certainty is not required.

State original-lot cost, incremental replacement expense, and bounded delay separately. Do not count the same invoice, work, credit, or economic consequence in two categories. Declared value can be considered with other evidence but does not automatically establish actual damage.

For delay, consider whether the model uses contemporaneous sources, a limited period, appropriate deductions, and treatment of independent development risk. A forecast is not a guarantee and is not worthless merely because uncertainty exists. Do not award indefinite sales, enterprise value, attorney fees, or an unsubmitted category.

Experts offered different applications and assumptions. You may accept a source amount while rejecting a later inference. If Blue Ember has not proved a particular category, enter zero for that line rather than using mitigation to correct an unsupported gross amount.

Final instructions — mitigation

Granite Heron must prove that a practicable loss-reduction opportunity existed, that Blue Ember acted unreasonably in failing to pursue it, and the net loss reasonable action would have prevented. Evaluate the decision from information available before the October 4 deadline rather than treating later events as known.

Consider Cobalt Finch’s actual capacity, relevant experience, incomplete BE-214 work, transfer calendar, qualification and change control, material and staffing needs, readiness gate, response time, estimated expense, cancellation exposure, execution risk, and expected schedule advantage. A reasonable option need not be guaranteed or already completed. It need not be pursued if its technical, quality, financial, or operational risk is disproportionate.

If Granite Heron proves mitigation, determine gross loss likely avoided and subtract the reasonable incremental expense necessary to obtain the alternative. Enter only the resulting net deduction. Do not add the unincurred Cobalt Finch cost to actual damages, deduct it twice, or use mitigation to reduce original-lot value merely because earlier replacement could shorten delay.

Final instructions — deliberation and verdict

Choose a foreperson, discuss the case fully, and return unanimous answers. Do not surrender an honest judgment solely to agree. Do not consult outside sources or attempt to investigate these fictional entities and events.

The verdict form first asks about contract performance and causal loss. It then asks for three gross-damage categories. After calculating gross damages, decide whether Granite Heron proved an unreasonable failure to mitigate. If yes, enter one net deduction and subtract it from the gross sum. Verify the arithmetic, but do not alter a factual answer simply to reach a preferred total.

Business records and device presentations may be considered for their admitted purposes. A graph organizes information but does not independently decide biology, law, or damages. Expert examples illustrate calculations; they are not verdict commands.

The clerk will provide admitted exhibits, the written instructions, and the verdict form. If you have a question, write it without stating your voting division. Do not reveal deliberations until a verdict is returned in open court.

Counsel may now make closing arguments. Their statements are advocacy, not evidence.

Blue Ember closing — contract and event

MS. HOLT: Granite Heron accepted a validation shipment with a precise range, an active response route, and an explicit staging procedure. Its own witnesses admitted the cable was not energized, verification did not happen, the alert went inactive, and the load warmed while entirely in its custody.

The defense asks you to begin later, with retained activity. Begin where the contract begins. This was not ordinary commodity freight. The lot's intended validation use depended on controlled conditions and records. Dr. Solis never claimed every vial was inert. She explained why a limited assay could not supply uniform history or rewrite a failure.

The September 16 record predates litigation and states the actual rationale. It acknowledges activity instead of hiding it. That candor makes the decision more credible, not less. Granite Heron knew the purpose and selected enhanced protection.

Find material breach and causal rejection. You need not punish anyone. Apply the promise, the stipulated chronology, and the contemporaneous disposition. The carrier's later corrective action confirms why verification and active response mattered, though it does not itself set damages.

Blue Ember closing — gross damages

MS. HOLT: Brooks did not hand you one mysterious total. He traced 1.35 million dollars already invested in the lot, removed unsupported overhead, and reconciled the amount independently of declared value. He identified 850,000 dollars of incremental replacement work and excluded seventy thousand dollars that lacked adequate support.

For delay, he used an August plan, lowered an assumption, removed an upside scenario, applied Blue Ember’s existing risk treatment, and rounded down. That is not certainty; it is disciplined treatment of uncertainty. The contract knew this was a timed validation program.

Enter 1.35 million for the original lot, 850,000 for replacement, and 2 million for bounded delay. Those lines total 4.2 million. Do not reduce a proved gross category merely because you later consider Cobalt Finch. The form gives that defense its own place.

Granite Heron can disagree with assumptions, but it offered no different traced original-lot ledger and no alternative calculation showing the delay had zero value. Reasonable certainty asks for a sound basis, not a crystal ball.

Blue Ember closing — mitigation

MS. HOLT: Take Cobalt Finch seriously and take its conditions seriously. Dr. Calder said the slot was real. She also said complete records, equipment equivalence, analytical assignment, audit, materials, training, engineering confirmation, and sponsor approval remained. December 2 was a start, not a released lot.

Blue Ember had forty-eight hours to commit money and scarce personnel while protecting its established March path. No one supplied a contemporaneous success percentage. Park later concluded the plan was more likely to work; Brooks showed why that expert judgment is not historical certainty.

If Granite Heron has not proved Blue Ember unreasonable, enter no deduction. If you believe some loss was reasonably avoidable, calculate net benefit honestly. A 300,000-dollar deduction is consistent with a partial finding; the form does not require either expert's endpoint.

Mitigation is not a morality judgment. It asks what a reasonable developer would do with the information then available. Blue Ember engaged, asked real questions, and selected the qualified route. A preference grounded in execution evidence can be reasonable even when an earlier alternative might have succeeded.

Granite Heron closing — causation

MR. MERCER: Granite Heron admits its operational failure. Accountability means accepting that fact, not accepting every consequence another company chooses to attach. Blue Ember wrote a no-tolerance criterion and then treated it as proof of total economic loss despite testing that retained activity.

Solis controlled how much testing to perform, whether another use had value, whether to repeat every task, and which site to select. Brooks did not supply scientific causation; he assumed it. A ledger can show cost, but it cannot show the carrier event necessarily caused loss of the entire amount.

The contract expressly stops short of promising scientific success. BE-214 faced multiple risks, and Granite Heron did not receive the full internal forecast. A validation label makes some consequence foreseeable; it does not make a 2 million development model inevitable.

You may find a temperature breach and still find that Blue Ember failed to prove one or more causal categories. Use the separate lines. Do not let Granite Heron's candor about Fletcher substitute for Blue Ember's burden on product and economic consequence.

Granite Heron closing — damages

MR. MERCER: The 1.35 million line includes internal allocations and gives no meaningful value to knowledge or research use. The replacement line assumes every repeated activity was necessary. The delay line begins with uncertain milestones in an unapproved program.

Brooks called his approach conservative, but every model is only as sound as its assumptions. Later scientific failure, financing change, manufacturing issues, or review could alter the path. Granite Heron was not a guarantor against those independent risks.

If you find direct loss, award only the traced, caused amount. If you find a bounded delay, test the forecast and remove anything remote. The verdict form permits zero or a lower supported figure in each category.

Remember also that the 4.2 million starting point is not Granite Heron’s admission. Park used it conditionally so you could see mitigation arithmetic without confusing disputes. Do not treat agreement on subtraction as agreement that the gross number is valid.

Compensation should restore a proved position, not turn one route mistake into insurance for a development enterprise.

Granite Heron closing — mitigation

MR. MERCER: Cobalt Finch was not a rumor. It had a real suite, comparable capability, a planned team, defined gaps, an October kickoff, a site review, engineering confirmation, a November decision gate, and a December campaign date. Another sponsor took the capacity after Blue Ember let it go.

Reasonable action does not require a guarantee. If companies waited for complete qualification before reserving scarce space, transfers could never occur on urgent schedules. The safeguards Blue Ember cites were the very work Cobalt Finch proposed to perform.

Park mapped the tasks and used Brooks's own risk-adjusted economic base. She left 200,000 dollars of delay in place and allowed the full 300,000 incremental estimate. Her net deduction is 1.5 million dollars, producing 2.7 million from Blue Ember's claimed gross amount.

Blue Ember chose familiarity despite a benefit many times the cost. Its questions were reasonable; surrendering the option without staged pursuit was not. Find the affirmative defense proved and apply the net deduction supported by the record.

Blue Ember rebuttal, deliberation, and verdict

MS. HOLT: Granite Heron says safeguards prove feasibility; Dr. Calder said they remained unresolved. It says another sponsor's booking proves availability; she said it does not prove BE-214 success. Do not turn possibility into certainty because the carrier needs a larger deduction.

The defense also asks you to distrust Blue Ember's quality criterion after accepting it in writing. A carrier may dispute consequence, but it cannot redefine validation as chemical activity alone. Follow the evidence category by category and use mitigation only after finding gross loss.

THE COURT: The case is submitted. The jury retired at 14:18 and returned at 17:06.

CLERK: The jury finds an enforceable contract, material breach, and causal compensable loss. It awards 1.35 million dollars for the original lot, 850,000 dollars for replacement expense, and 2 million dollars for delay, totaling 4.2 million. It finds Granite Heron proved unreasonable failure to mitigate and sets the net deduction at 300,000 dollars. The resulting award is 3.9 million dollars.

THE COURT: Is this unanimous?

FOREPERSON: Yes.

THE COURT: The verdict is accepted. The clerk will enter it on the separate form. Jurors are discharged with the Court's thanks. Counsel shall review the arithmetic and submit any clerical concern before judgment is entered.